



Trial by fire

West Bengal should rebuild its crumbling, hazardous infrastructure

What is it with West Bengal and fires? Since 2025, there have been major fires, in hotels and in godowns, claiming some 65 lives, many of them poor and migrant workers and pilgrims. The State seems to be an egregious case of the generally poor fire safety record of Indian factories, industrial facilities as well as cities and towns built on top of greed, a disregard for laws, corruption, and scant respect for lives and property. The Shikha Inn was housed in a century-old building on Mirza Ghalib Street in Kolkata, which apparently had several hotels – on each of its five floors. It was obviously not built to be a hotel. Shikha Inn is typical of what happens in India, where old buildings with electrical systems designed for a certain load are quickly repurposed, and modern equipment is added without any consideration of whether the system can handle the air-conditioners, washing machines, heaters and induction stoves. The August 17 fire in Tarapith was apparently electrical too and the killer was the smoke. The fire spread rapidly because the pilgrim hotel used flammable materials extensively. Rituraj Hotel, which caught fire in April 2025, had also been repurposed. With just one stairway, the fire on the first floor cut off escape, and, just as in the Mirza Ghalib Street fire, smoke trapped those above.

For the new BJP government in West Bengal, the accidents have provided more fodder for its attacks on the TMC. Though Chief Minister Suwendu Adhikari called the Kolkata fire “impossible to ignore”, he nevertheless blamed a “legacy of negligence”. This may well be true but serves little purpose. The present government has, similar to its predecessor, a dedicated Fire Minister. There have been promises of robust action such as a Statewide safety audit, but the focus seems to be more on the TMC than on corrective action. Mr. Adhikari should dismount the campaign horse and look at the elephant in the room – crumbling infrastructure. In its first 100 days, the government has been rather silent on the creaky infrastructure of West Bengal – a State with a rich history of urban life, industrialisation, culture and progressive politics that once led the nation, but now lags behind much of India in roads, buildings, amenities and governance. Urban renewal is the stock-in-trade of the BJP across India and West Bengal will be well served by a State BJP that adopts it. Heritage buildings and conservation have their own value, including for tourism, but require careful planning to suit today’s needs. Mr. Adhikari should place governance above petty politics and focus on infrastructure.

Socialist surge

Affordability issues propel democratic socialists in the United States

As the Trump administration persists with its blunderbuss reshaping of American foreign policy – a marriage of hyperimperialism, with wars in West Asia, a de facto capture of power in Venezuela and the strangling of Cuba’s fuel trade, and isolationism, seen in withdrawals from multilateral institutions and tariffs imposed on a whim – the world has been waiting for a political alternative to Trumpism to take shape. After 2024, when a vapid Democratic Party displayed little ideological gumption on foreign policy, welfare or taking on the plutocrats reshaping American democracy, the prospects looked slim. Then, in November 2025, Zohran Mamdani won New York City on a platform of de-commodification – placing citizens’ needs above market shibboleths – while openly calling Israel’s war on Gaza a genocide. His victory did more than capture New York’s imagination. It set off an insurgency by democratic socialists within Democratic Party ranks. In Michigan’s August 4 primary, Abdul El-Sayed, a progressive backed by Independent Senator Bernie Sanders, won the Democratic nomination for the Senate despite pro-Israel groups spending heavily against him. Angie Nixon, a three-term State legislator who joined the Democratic Socialists of America in June, has won Florida’s Democratic Senate nomination, having spent merely \$60,000 on advertising as opposed to her moderate opponent’s \$2.2 million. Such results matter in a country where socialism has been used to evoke the Red Scare, even decades after the Cold War.

Mr. Sanders, whose unabashed democratic socialism is closer to European social democracy than to state ownership of the means of production, ran two presidential campaigns that prepared this ground while the likes of Alexandria Ocasio-Cortez and others showed its electoral viability in Democratic strongholds in House elections. In 2026, a new generation of democratic socialists has sharpened its methods and its reach. The focus on affordability in childcare, rent freeze, Medicare for All and taxing the rich while breaking with the Democratic Party’s foreign policy consensus, including on funding Israel’s military, has carried them beyond strongholds such as New York. The new cohort has not only won primaries but also registered a shift in the political outlook of many Americans. But caution is warranted. Taking on the Republican machine in November will be a far tougher task, especially if the Democratic establishment does not rally around its insurgents against Trumpism. Yet, supporters point to a deeply unpopular Mr. Trump, and a welfare-first message that could cut across the U.S.’s culture wars the Republicans will keep stoking. For the Global South, including Indians, the rise of democratic socialism as a viable force in the U.S. will be welcome, as its emphasis rests on fair trade and multilateral engagement, besides an end to Washington’s forever wars.

Geopolitical headwinds in the background of recently introduced tax changes would shape the Centre’s fiscal outlook for 2026-27. Despite pressure on tax revenues and subsidies, strong non-tax receipts and policy interventions may keep fiscal outcomes broadly on track.

Centre’s revenue receipts

As per the The Controller General of Accounts (CGA) data, the Centre’s gross tax revenues (GTR) grew only by 3.7% in the first quarter of 2026-27. This was the result of subdued revenue performance of personal income tax (PIT) and Goods and Services Tax (GST), both of which were subjected to substantive modifications in 2025-26. In both cases, extensive rate rationalisation was undertaken. In the case of GST, there was a substantive rate reduction. The expectation was that while these reforms would entail an initial revenue sacrifice, subsequent expansion of the tax base would offset the revenue loss over time. PIT revenue growth in 2025-26 was only 0.037%, implying a buoyancy of zero. For the second half of 2025-26, GST revenue growth was 4.67%. The revenue reducing effect of these major tax interventions has continued in 2026-27. PIT shows a growth of 6.8% in the first quarter of 2026-27 while GST revenues showed a contraction of (-)11%.

In the meantime, the Indian economy was beset by the West Asian crisis and its related impact, including high and volatile global crude oil prices and other supply-side uncertainties. As retail fuel prices rose, the government reduced excise duties to ease the burden on consumers. This had a direct bearing on revenue from Union excise duties, which contracted by 22.4% in the first quarter of 2026-27.

In order to make up for the shortfall in revenue receipts, the government initiated some remedial measures. First, a Health Security se National Security (HSNS) Cess was introduced with effect from February 1, 2026 even as the GST Compensation Cess was discontinued. Second, the windfall tax on exports of diesel, petrol and aviation turbine fuel was increased effective August 3, 2026. Third, there was an increase in



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Central government finances for 2026-27 may remain close to budgeted levels

import duties through increased rates on gold and silver bullion and other specific precious metal articles, sweepings, and clad metals. One additional factor is the likelihood of a higher nominal GDP growth rate as compared to the budgeted growth of 10.04%. We expect the 2026-27 nominal GDP growth to be in the range of 12.5% to 13%. This projection reflects an expected real GDP growth of about 7% together with an Implicit Price Deflator (IPD)-based inflation of 5%-5.5%, consistent with the present trajectories of Consumer Price Index (CPI) and Wholesale Price Index (WPI) inflation at 3.9% and 9.3%, respectively, in the first quarter of 2026-27. We note that even with a higher nominal GDP growth rate, the magnitude of nominal GDP as per the 2022-23 base series is estimated at ₹391 lakh crore. This will be lower than the budgeted level at ₹393 lakh crore. On the whole, we consider that the estimated GTR would be realised or fall short by a small margin. At some suitable time, the reduction in excise duty on fuel prices must be restored.

Transfers to States

In estimating net tax revenue from GTR, a factor of 65%, which was the ratio of net to gross tax revenues in 2025-26 and 2026-27 (BE), can be applied since the Sixteenth Finance Commission (FC16) retained the share of States in the divisible pool of central taxes at 41%. There may be a marginal reduction in the shareable pool due to the introduction of the non-shareable HSNS Cess although some part of the revenues from this cess may go to the States as non-FC grants.

In the first quarter of 2026-27, there was a sharp contraction in tax devolution to the States to the extent of (-)19.5%. In subsequent months, there is an expectation of an increase in the assignment of central tax revenues to the States. Based on the FC16’s recommendation, the FC grants for the States are budgeted to contract by an amount of ₹23,556 crore in 2026-27.

The Reserve Bank of India provided major fiscal support in the form of dividends, which were transferred to the Centre in May 2026. As a result, 77% of the budgeted dividends and profits for the full year had already been covered in the

first three months. We expect the budgeted amounts for non-tax and non-debt capital receipts to be realised.

The Centre’s non-tax revenues contributed 37% of its net revenue receipts in the first quarter of 2026-27. During the quarter, major subsidies had to be increased by 37.4% due to the unexpected rise in global crude oil prices, although the growth in revenue expenditure was contained at 7.4%. The Centre was able to front-load its capital expenditure in the first quarter of 2026-27, which grew by 23.7%, compared with a contraction of (-)23.3% in the fourth quarter of 2025-26.

For the year as a whole, the crisis in West Asia is likely to continue keeping global crude oil prices under pressure. If the major subsidies in the first quarter are extrapolated to estimate the annual subsidy requirement, realised subsidies are expected to exceed the budgeted amount by about ₹50,000 crore.

Debt and deficit

Using first-quarter data, the Centre’s fiscal deficit accounted for 18.2% of the annual budgeted magnitude, while the corresponding share of the revenue deficit was 0.4%. The impressive revenue account balance is mainly due to the contribution of non-debt receipts.

Fiscal deficit, calculated as the increment in debt, is estimated at ₹18.16 lakh crore. If this is realised, the fiscal deficit-to-GDP ratio, with respect to the new GDP series, is estimated at 4.6%. Correspondingly, the debt-to-GDP ratio is estimated at 55.8%. This is close to the budgeted level, taking into account the impact of the new GDP series. Some slippage may still occur due to a shortfall in tax revenues, an unbudgeted increase in revenue expenditure arising from additional subsidies, and a slightly higher external debt amid sustained pressure on the Indian rupee. As of now, significant deviations from the budgeted fiscal outcomes appear unlikely. However, an escalation of the war could deliver a major jolt to the economy and central finances.

The views expressed are personal

The Vanashakti verdict is balanced and pragmatic

The Supreme Court of India’s landmark judgment delivered on July 29, 2026 in *Vanashakti vs Union of India* has brought much-needed clarity to one of the most debated issues in environmental regulation: the fate of projects that commenced without obtaining prior Environmental Clearance (EC).

Wider policy impact

While the judgment firmly reiterates that obtaining prior EC is a mandatory legal requirement under the Environment Impact Assessment Notification (EIA) Notification, 2006, it also provides an important policy direction that could have far-reaching implications for thousands of industries, infrastructure projects and real estate developments across India.

The Court has categorically held that project proponents who commenced construction or operations without obtaining prior EC and that did not apply under the earlier violation mechanisms, cannot now seek regularisation under the 2017 Notification or the 2021 Standard Operating Procedure (Office Memorandum). Those mechanisms are no longer available for fresh cases.

At first glance, this may appear to shut the door completely on pending violation projects. However, a closer reading of the judgment reveals a far more balanced and pragmatic approach. One of the most significant aspects is the Court’s recognition that the central government continues to possess the statutory power under Section 3 of the Environment (Protection) Act, 1986 to frame a fresh statutory mechanism for dealing with violation cases, if considered necessary in the larger public interest.

The Court has made an important distinction between an administrative office memorandum, which cannot override the requirement of prior EC, and a statutory notification issued under the powers conferred by the Environment (Protection) Act. While the former has been held to be legally unsustainable, the latter remains a permissible legislative option, provided it is



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The top court’s verdict closes existing environmental clearance regularisation routes while leaving scope for a new framework

carefully designed within the framework of environmental law.

This observation is likely to have significant policy implications. Across India, numerous industrial units, commercial developments, infrastructure projects and public utility projects remain in violation of the EC requirements for various reasons. Some projects proceeded due to regulatory uncertainty, others due to an incorrect interpretation of the law, while some simply failed to obtain the necessary approvals before commencement. Many such projects never applied under the earlier violation windows and have therefore been left without a legal pathway following the closure of the 2017 scheme and the striking down of the 2021 Office Memorandum.

The present judgment acknowledges this practical reality without compromising the fundamental principle that prior EC remains mandatory.

Where there is a balancing act

Importantly, the Court has not directed the central government to introduce a new regularisation scheme. Instead, it has clarified that the government may, if it considers it necessary, in the larger public interest, issue a fresh statutory notification providing a one-time opportunity for specified categories of violation projects.

The Court has also indicated the safeguards that such a notification must incorporate. Any future scheme cannot become a permanent “violate first, regularise later” mechanism. Instead, it should be strictly one-time, supported by statutory authority, and should include comprehensive environmental safeguards such as environmental damage assessment, remediation measures, environmental compensation and strict compliance conditions.

This balanced approach attempts to reconcile two equally important objectives. On one hand, environmental laws cannot encourage deliberate violations by allowing routine post-facto approvals, while on the other, indiscriminate

closure or demolition of every violation project may not always serve either environmental protection or the larger public interest, particularly where projects are otherwise environmentally acceptable and substantial investments have already been made.

The judgment therefore reinforces the principle that environmental governance should combine strict enforcement with practical and scientifically sound regulatory solutions.

For project developers, industries and infrastructure agencies, the immediate message is straightforward. No fresh applications can now be made under the earlier violation mechanisms. However, the judgment also leaves open the possibility that the central government may formulate a fresh statutory framework to address pending violation cases in an environmentally responsible manner.

The regulatory road ahead

Whether such a policy initiative will be undertaken now rests entirely with the central government. Given the large number of pending projects across various sectors, industry associations, infrastructure developers, environmental professionals and other stakeholders are expected to closely watch the government’s next steps. The judgment has effectively closed the old regulatory route but has simultaneously acknowledged that Parliament’s environmental legislation still provides sufficient statutory authority for a carefully structured one-time solution, should the government consider such intervention necessary.

The July 2026 judgment is therefore significant not merely because it settles the legal validity of earlier violation mechanisms, but also because it charts the contours of any future policy on environmental regularisation. It preserves the integrity of the prior EC regime while leaving sufficient legislative space for the government to address genuine legacy violations through a lawful, transparent, and environmentally robust statutory framework.

LETTERS TO THE EDITOR

The goal as good doctors

All necessary security measures should be put in place, at least from now on, so that paper leaks, court hearings, protests, administrative decisions, demands for accountability and the like become a thing of the past. While healthy competition, even if stiff, is welcome, it is unfair to subject medical aspirants to such teething troubles even before they make their deep medical plunge through the National Eligibility cum Entrance Test (Undergraduate), which is supposed to be the ultimate test of their merit and mettle. There should be no scope for man-made manipulations that enable non-meritorious candidates

to find shortcuts to becoming doctors and entering the profession. One can well imagine the adverse consequences of unworthy and undeserving persons becoming doctors and treating the public. Let us turn a new page and focus on producing good doctors.

R. Sampath, Chennai

Perks, misplaced priorities

Tamil Nadu Chief Minister C. Joseph Vijay’s recent announcement to provide brand-new luxury cars and a monthly vehicle allowance of ₹75,000, plus additional staffing perks to all 234 MLAs is a staggering display of misplaced priorities. The vast majority

of the elected representatives already own multiple personal vehicles or have ample logistical means. Handing out luxury State perks and unconditional monthly cash flows to affluent politicians while ordinary citizens struggle with inflation, crumbling local infrastructure, and unmet basic welfare needs shows a shocking disconnect from ground realities. To spend crores of taxpayer money on luxury upgrades for sitting politicians, under the guise of helping “humble backgrounds”, is an insult to the public (“All T.N. MLAs to get car and assistant for constituency work”, August 20). At a time when the State treasury must be

guarded and prioritised for public health, education, and employment generation, spending crores of rupees on redundant vehicular luxuries for lawmakers is fiscally reckless. Public money belongs to the public, not to the comfort of already-privileged politicians.

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Word ‘industry’ redefined

A substantial portion of Justice V.R. Krishna Iyer’s judgment has been preserved for all pending disputes. The majority has held that the triple-test theory requires reconsideration. At the heart of the controversy,

however, is Justice Krishna Iyer’s judgment and the philosophy that informed it. It is a matter of some relief that his broad-based judgment, which provided a forum for the working class, has been preserved for pending litigation. It is unfortunate, however, that the benefit of this liberal approach has not been extended to the millions of toiling workers for whom Justice Krishna Iyer was a beacon of hope. It is also refreshing that Justice B.V. Nagarathna has upheld the principles enunciated by Justice Krishna Iyer in the Bangalore Water Supply case and held that the reference itself was unnecessary. At the same time, one must take note of

the damage caused by the definition of “industry” under the Industrial Relations Code. The Code adopts a highly conservative definition that excludes a number of activities, thereby leaving sections of the working class vulnerable and without adequate legal protection. This is a moment for the working class to organise rather than depend on legislative prescriptions or judicial interpretations for their survival, dignity and progress. The battle lines have been drawn.

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